

EXECUTIVE SUMMARY

Case Study – Financial Planning for Priya

1. Business Context

Priya Sharma is a 25-year-old marketing executive based in Delhi who has recently started her professional career. Although she earns a stable monthly income, she faces challenges in balancing daily expenses, savings, and multiple financial goals. Like many young professionals, Priya aims to build financial security while preparing for future milestones such as higher education and home ownership.

This case study develops a structured financial planning model using FP&A principles to analyse her cash flow, evaluate financial performance, forecast future savings, and recommend strategies for improving long-term financial health.

2. Business Problem

Despite earning a consistent salary, Priya lacks a structured financial planning system. Her savings are affected by irregular expenses, making it difficult to simultaneously build an emergency fund and save for future goals.

The primary challenge was to determine how Priya could allocate her monthly income efficiently while maintaining liquidity, managing financial risks, and progressing toward multiple financial objectives.

3. Project Objectives

The objectives of this project were to:

- Develop a realistic monthly budgeting model.
- Analyse monthly income, expenses, and savings performance.
- Track progress toward multiple financial goals.
- Build an emergency fund planning model.
- Forecast savings over a five-year period.
- Compare different savings scenarios.
- Present findings through an executive dashboard.
- Provide practical, data-driven financial recommendations.

4. Project Methodology



The financial model was developed following a structured FP&A workflow to ensure that every recommendation was supported by quantitative analysis.

5. Financial Snapshot

KPI	Result
Annual Income	₹6,64,000
Annual Expenses	₹5,29,600
Annual Savings	₹1,34,400
Savings Rate	20%
Emergency Fund Progress	80% Complete
Largest Expense Category	Rent (34%)
Five-Year Projected Savings	₹7,88,471

6. Key Findings

The financial analysis identified several important insights regarding Priya's current financial position:

- Priya generated an annual income of **₹6.64 lakh** while saving approximately **20%** of her income.
- The Emergency Fund has reached **80% completion** and is projected to be fully funded by **September 2026**.
- Rent represents **34%** of total annual expenses, making it the largest recurring cost.
- March recorded a temporary negative savings position due to unusually high one-time expenses.
- If Priya maintains her current savings discipline and receives an annual salary growth of **8%**, cumulative savings are projected to reach approximately **₹7.88 lakh** within five years.

7. Scenario Analysis Summary

Three savings scenarios were evaluated to understand the impact of different savings behaviours on long-term financial goals.

Scenario	Savings Rate	Estimated Time to Save ₹10 Lakh
Conservative	20%	7.5 Years
Moderate	30%	5.0 Years
Aggressive	40%	3.8 Years

The analysis indicates that increasing the savings rate significantly accelerates long-term wealth creation. However, the **Moderate (30%)** scenario provides the most balanced approach by maintaining financial stability while improving goal achievement timelines.

8. Strategic Recommendations

Based on the financial analysis, the following recommendations are proposed:

- Complete the Emergency Fund before allocating substantial savings to lower-priority goals.
- Gradually increase the savings rate from **20%** toward **30%** to improve long-term financial security.
- Reduce discretionary spending on shopping and entertainment to create additional monthly savings capacity.
- Increase contributions toward the MBA Fund after the Emergency Fund has been fully funded.
- Continue reviewing monthly expenses to identify opportunities for improving cash flow efficiency.

9. Skills Demonstrated

Technical Skills

- Microsoft Excel
- Budget Planning
- Forecasting
- Scenario Analysis
- Dashboard Design
- KPI Development

FP&A & Business Skills

- Financial Planning
- Budgeting
- Cash Flow Analysis
- Goal-Based Financial Modelling
- Business Storytelling
- Executive Reporting
- Strategic Decision-Making

10. Conclusion

This case study demonstrates how FP&A techniques can be applied to personal financial planning by combining budgeting, financial analysis, forecasting, and executive reporting into a structured decision-support model. The project highlights the importance of data-driven financial planning and illustrates how disciplined savings, effective cash flow management, and scenario analysis can improve long-term financial outcomes.